Quebec — Starting a Small Business

Quick Reference Checklist: Name, Domain, GST & QST

Jane Reitsma is not a licensed accountant or financial advisor. This is general information only — not legal or tax advice. Confirm current rules with a CPA and the official government sites before registering. Compiled July 2026.

☐ Step 1: Search your name idea before you fall in love with it

- Google it (and try Bing too) — see who else is already using it, and whether it's easy to find or buried under similar results.
- Optional deeper check: search the Canadian Trademarks Database to see if the name (or something close) is already trademarked.
- Say it out loud, check for awkward abbreviations, and make sure it's easy to spell from hearing it once.

☐ Step 2: Check domain (URL) availability before you commit

- Search your name — and a few close variations — on GoDaddy and Rebel.ca (Rebel is a Canadian registrar — good for locking down a .ca domain).
- A name with no available domain is a name worth reconsidering — your domain is your business's home base.

☐ Step 3: Choose your name and register with the Registraire des entreprises (REQ)

- Quebec is stricter than most provinces here: most businesses must register with the REQ even when operating under the owner's own name, so don't assume you're exempt — check the REQ site if you're unsure.
- Register through the Quebec Enterprise Register using its Register an enterprise service. You must register within 60 days of starting operations.
- Cost: $35 for a sole proprietorship, or $95 for a corporation. You'll be assigned a Quebec enterprise number (NEQ).
- An annual declaration ($35) is due within 3 months of your registration anniversary — a missed deadline triggers a $250 penalty.
- No ranked, multiple-choice submission — you register the name you're using directly.

☐ Step 4: Project your sales to know when GST and QST kick in

- **GST + QST (federal + provincial):** register once your business income (combined with any associates) exceeds $30,000 — the same small-supplier-style threshold used federally.

☐ Step 5: Know what's taxable under QST (Quebec overview)

- QST largely mirrors the GST tax base — most goods and services are taxable, with the same 9.975% rate applying almost everywhere GST does (for roughly 14.975% combined).
- **Common exemptions:** basic groceries, prescription drugs, most healthcare and dental services, residential rents, educational services, and financial services.

- Registration for GST and QST is combined into one process with Revenu Québec (not the CRA directly) — a separate step from your REQ business registration.

☐ Step 6: Register for GST and QST

- Business registration with the REQ (Step 3) is separate from your tax accounts.
- **GST + QST:** Register with Revenu Québec — see How to register for GST and QST. Use Form LM-1-V through "Mon dossier pour les entreprises" — this single form registers both taxes at once.

☐ Step 7: Know the rules if you sell online or ship across Canada

- Where your customer lives usually matters more than where your business is registered — this is called the "place of supply" rule, and it determines which province's tax rate you charge.
- For physical goods shipped to another province, you generally charge that destination province's tax rate — not your home province's rate.
- For digital products and services (online courses, templates, downloads, virtual coaching), the CRA generally sources the sale to the customer's billing address — the same rule applies.
- **If you only charge GST/HST (no separate PST/RST/QST):** your invoicing tool just needs the client's province on file to apply the right rate automatically — most tools, including My Money Organizer and QuickBooks, handle this once you enter the correct billing address.
- **If you're also PST/RST/QST-registered:** provincial sales tax generally follows narrower rules about where goods are delivered or services are performed, not just billing address — confirm with a CPA before scaling multi-province sales.
- CRA: Place of Supply in a Province — Overview — the full rules by product/service type.

☐ Step 8: Look into business insurance before you take on clients

- Business insurance isn't legally required to register, but most professionals carry it before their first invoice goes out — it protects you (and your clients) if something goes wrong.
- **Commercial general liability (CGL):** covers claims of bodily injury or property damage — a common baseline even for home-based and online service businesses.
- **Professional liability / errors & omissions (E&O):** worth a close look if you give advice, consulting, coaching, bookkeeping, or design services — it covers claims that your work caused a client financial loss, even if you did nothing wrong.
- **Home-based business coverage:** a standard homeowner's or tenant's policy typically excludes business equipment and liability — ask your insurer about adding a rider or a separate business policy if you work from home.
- **If you hire employees or subcontractors:** registering with CNESST is mandatory in most industries — coverage for sole proprietors who work alone is usually optional.
- Not sure where to start? Insurance Bureau of Canada is a good starting point for finding a licensed broker.
- This isn't insurance advice — a licensed insurance broker can match coverage to your specific business and risk level.

Accounting: My Money Organizer vs. QuickBooks

Every business needs the same answer here: start with the right-sized tool, and upgrade when the complexity justifies it. The question isn't which tool is "better" — it's what your business actually needs right now.

Stick with My Money Organizer while:

- You're a sole proprietor or solo operator with no employees or subcontractors on payroll.

- Invoicing is simple — a manageable number of clients, one currency, no progress billing or complex payment schedules.
- You don’t carry inventory or need cost-of-goods-sold tracking.
- You only need to file one or two sales tax returns and are comfortable doing it yourself with clear projections.
- You want one spreadsheet that shows income, expenses, tax set-asides, and budgeting in plain language — without learning full accounting software.

Move to QuickBooks when:

- You hire an employee or contractor and need payroll (source deductions, T4s/T4As, ROEs).
- You carry inventory and need cost tracking, reorder points, or product-level profitability.
- You sell in multiple provinces and need to track and remit more than one sales tax.
- You want automatic bank-feed reconciliation, class/project tracking, or deeper reports (P&L, cash flow forecasting, budgets vs. actuals).
- Your accountant asks for direct QuickBooks Online access to prepare your return or year-end.

Not sure which fits your situation, or want help setting either one up?

Book a free discovery call at themoneyorganizer.ca